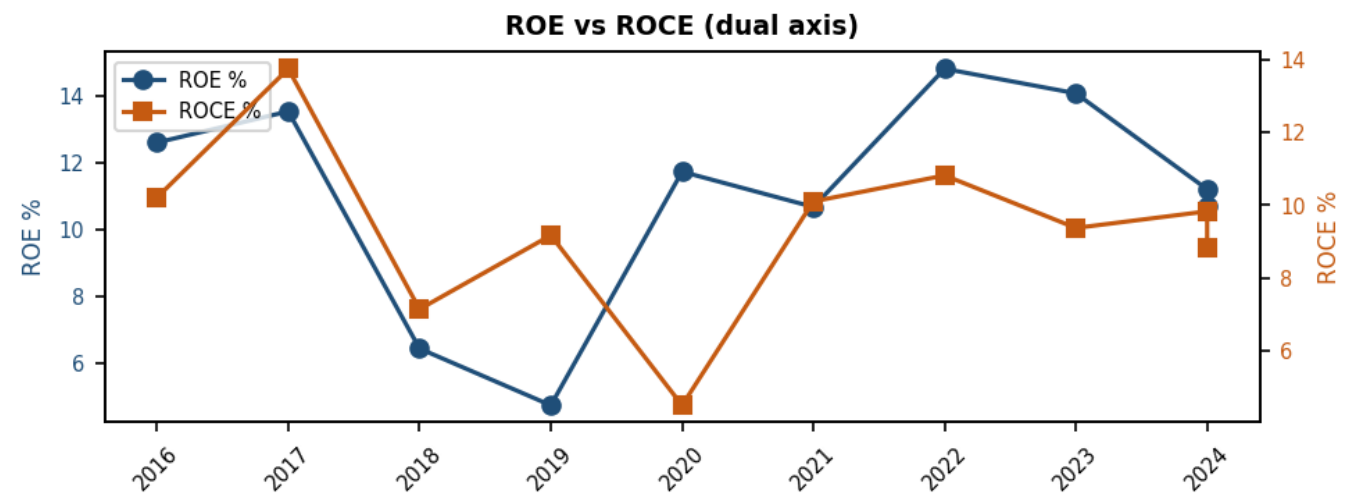
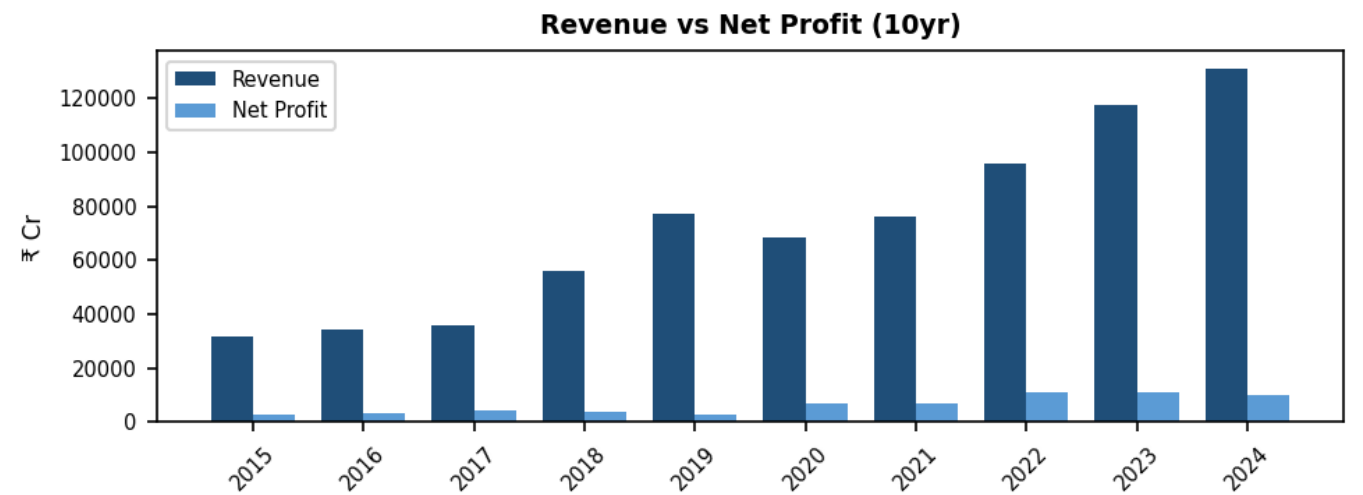


Grasim Industries Ltd

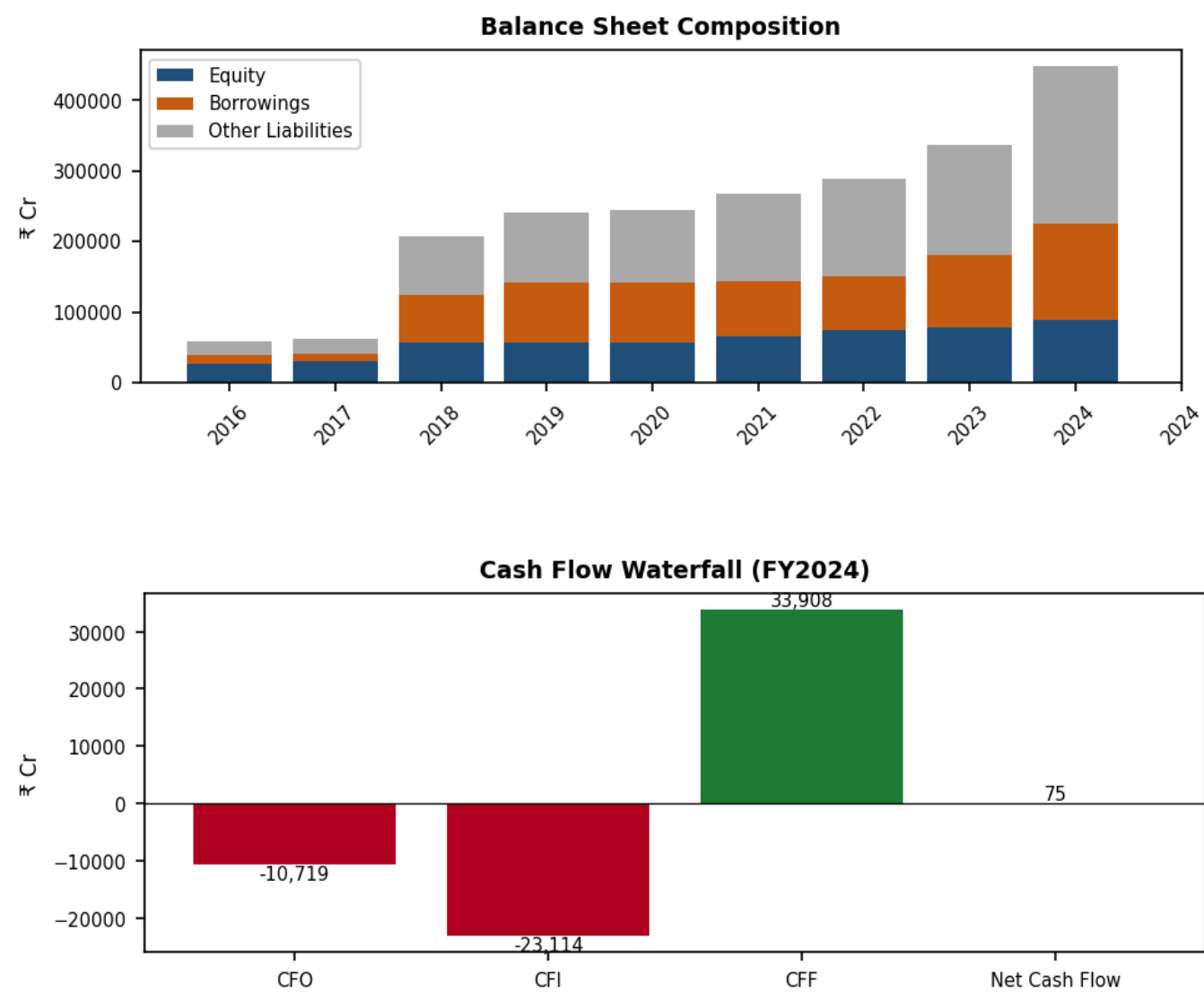
NSE: GRASIM | Industrials

ROE	ROCE	OPM (Latest)
11.2%	9.3%	21.0%
Debt / Equity	Market Cap	Revenue (Latest)
1.55	478,952 Cr	130,978 Cr



Grasim Industries Ltd

NSE: GRASIM | Cash Flow & Qualitative Summary



Pros

- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- + Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Pattern: Growth Funded by Debt